

Transparency & Truth in Advertising in E-Commerce Industry

Yande Ndiaye

Boston University

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Introduction

Ethics defines right and wrong actions in specific situations and is fundamental to the functioning of society. In the realm of e-commerce, ethics serves as a guidepost for protecting customer security and maintaining trust between businesses and consumers.

Cyber ethics, more specifically, refers to the best practices and ethical guidelines that govern the use of computer systems and the internet. In the context of e-commerce, cyber ethics emphasizes the importance of safe online practices, transparent communication, and responsible use of technology. By promoting fairness, honesty, and accountability, cyber ethics ensures that the digital marketplace operates in a way that benefits both businesses and consumers while minimizing harm.

Identifying the Ethical Problem

As technology advances and consumer behavior increasingly shifts toward digital shopping, online platforms and word-of-mouth communication play a central role in shaping purchasing decisions. Within this environment, a major ethical concern has emerged: the widespread proliferation of **misleading advertising practices**. These practices, including false product claims, manipulative marketing tactics, and undisclosed paid promotions, mislead consumers, distort product reputations, and impose additional costs on businesses and platforms that must invest in monitoring, detection, and enforcement systems.

This paper examines the ethical implications of such deceptive marketing behaviors, which threaten the integrity of the digital marketplace. Misleading advertising creates an inaccurate representation of product quality and customer experience, directly influencing consumer perceptions and purchasing decisions. When shoppers cannot trust the information presented to

them, whether in ads, product descriptions, or reviews, the foundation of trust that supports e-commerce begins to erode.

At the heart of this issue are questions of **transparency, accountability, and fairness**. Transparency is essential for building trust, which fuels customer loyalty, repeat purchases, and long-term brand advocacy. As Taras Talimonchuk (2004) argued, when consumers are becoming increasingly knowledgeable and demanding, transparency in marketing is of particular importance. From an ethical standpoint, honesty in advertising and customer communication is not only a moral obligation but a strategic necessity. Like federal law says that ad must be truthful, not misleading, and, when appropriate, backed by scientific evidence (News and Event, 2025). Companies that prioritize truthful representation strengthen their reputation, encourage deeper engagement, and ultimately build more resilient business models.

In contrast, misleading consumers, whether through deceptive claims, artificial scarcity tactics, hidden fees, or undisclosed paid endorsements, may offer short-term gains but ultimately undermines trust, damages customer relationships, and exposes companies to legal, financial, and reputational risks. This is why leading e-commerce platforms and brands increasingly recognize the importance of maintaining transparent, truthful advertising practices and avoiding behaviors that misrepresent their products in pursuit of competitive advantage.

These boundaries are clear: the problem is not about all forms of marketing but specifically about **deceptive or misleading advertising practices that reduce transparency** in online marketplaces.

Stakeholders

1. Consumers

They rely on truthful information to make informed purchasing decisions and are directly harmed by misleading claims, hidden fees, fake scarcity, or unclear disclosures.

2. E-Commerce Platforms

Companies like Amazon, Shopify, Walmart Marketplace, and eBay are responsible for monitoring ads, enforcing disclosure rules, and maintaining a trustworthy marketplace.

3. Online Retailers and Sellers

Both ethical and unethical sellers are stakeholders. Honest sellers are harmed by competitors who use misleading tactics, while deceptive sellers may benefit—until they face penalties.

4. Influencers, Affiliates, and Content Creators

These individuals shape consumer behavior through sponsored posts, reviews, and promotions. They are responsible for clear disclosure but may engage in misleading practices if incentives are high.

5. Regulators and Government Agencies

Organizations such as the Federal Trade Commission (FTC) set standards for transparency, disclosure, and advertising accuracy. They enforce penalties and protect consumer rights.

6. Competitor Brands

Ethical brands lose competitive advantage when others use deceptive tactics to attract customers, creating an unfair and distorted marketplace.

The ethical Principles

Each principle highlights why deceptive marketing is harmful and why ethical advertising is essential for a trustworthy digital marketplace.

- **Transparency** requires clear and accurate information, and deceptive claims or hidden fees undermine consumers' ability to make informed decisions.
- **Integrity and honesty** demand truthful communication; misleading descriptions, manipulated reviews, or false scarcity signals erode trust and contradict moral business conduct.
- **Fairness** is compromised when deceptive practices give unethical companies an unfair advantage and distort consumer choice.
- **Accountability** obligates businesses and platforms to monitor marketing practices, enforce disclosure rules, and prevent deceptive content from harming users. Finally,
- **Respect for consumer autonomy** requires allowing customers to make independent decisions without manipulation; misleading advertising interferes with this right by distorting perceptions of product quality or value. Together, these principles highlight why ethical advertising is crucial for protecting consumers and maintaining a credible e-commerce environment.

Policies

To effectively reduce misleading advertising practices in e-commerce, a combination of platform-level, regulatory, and business-level policies is necessary. Companies must rely on these policies and carefully vet their marketing and promotional materials to minimize legal risks and

reputational damage (Eunice Arcilla Caburao, 2025) .There are variety of policies proposed to promote transparency, protect consumers, and strengthen accountability across the digital marketplace. In our paper we advocate for these two following policies, then we cite some other policies advanced in the e-commerce field.

1- “Consumer-Verified Product Reality Panels (CVPRP)”

This policy creates **Consumer-Verified Product Reality Panels**, a system where ordinary shoppers are randomly selected (like jury duty) to test popular or high-risk products and evaluate the **truthfulness of the advertising**.

Each panel produces a public “Reality Report” that includes:

- Whether the product performs as advertised
- Which claims are accurate, exaggerated, or misleading
- Honest photos/videos from real consumers
- A “Reality Accuracy Score” that must appear on the product page
- Recommendations for ad corrections
- Consumer language clarifying what buyers should really expect

Brands cannot influence or choose the panel members.

The panel refreshes periodically to avoid bias and ensure diverse consumer perspectives

Implementation

This policy can be implemented at either the national or international level, depending on the scope and operational reach of the company. It can be in industry or

- **International:** Global guidelines for panel selection, scoring, fairness.

- **National:** Consumer protection agencies oversee the program (like jury duty).
- **Industry:** Platforms display Reality Scores and embed Reality Reports.
- **Community:** Consumers gain formal power to validate or challenge claims.

Ethical framework:

Contract-Based Ethics (Best Fit): Advertising becomes a real, mutual contract between sellers and consumers, verified by the people.

2- “Real-Time Ad Traceability Ledger (RATL)”

The Real-Time Ad Traceability Ledger (RATL) is a new policy that requires every digital advertisement, product claims, pricing promotions, influencer posts, sponsored content, to be logged in a **public, tamper-resistant ledger** at the moment it is created.

Each advertisement receives a unique **AdTrace ID**, which consumers can click to see:

- When the ad was created
- Who funded it (company, sponsor, affiliate)
- Whether claims have been independently verified
- Any revisions, removals, or corrections
- Complaints or flags filed by consumers
- Platform actions taken (label applied, reach reduced, removed, etc.)

This creates a **timeline** of every ad’s truthfulness and changes, like a “nutrition label” plus a “Wikipedia history” page for advertising.

RATL is the first system that treats ads like *auditable artifacts* rather than ephemeral content.

Implementation

- **International:** Organizations like the OECD, UNCTAD, or ISO establish global standards for traceability identifiers and ledger interoperability.
- **National:** Governments require platforms to register all ads in the ledger before launching them.
- **Industry:** E-commerce platforms integrate AdTrace IDs into product listings, influencer posts, and ads.
- **Academia/NGOs:** Researchers analyze transparency patterns to identify emerging deceptive trends.

Ethical Framework Alignment

Duty-Based Ethics (Best Fit): Companies have a duty to provide truthful, consistent information. A traceability system enforces moral obligations to avoid deception.

Contract-Based Ethics: Establishes a transparent “contract” between consumers and sellers: no hidden changes, no disappearing claims.

Consequence-Based Ethics (Secondary): Reduces harm by preventing misleading claims and enabling accountability.

Few policies already proposed in the market

1.Mandatory Transparency and Disclosure Policies

Platforms should require clear and standardized disclosure of:

- Sponsored content
- Affiliate links
- Influencer partnerships
- Paid or incentivized product reviews

A uniform disclosure policy ensures that consumers understand when content is promotional, protecting their autonomy and reducing hidden persuasion

Implementation

These policies can be implemented at either the national or international level, depending on the scope and operational reach of the company. For businesses that operate globally, such as major e-commerce platforms (Amazon, eBay, Alibaba), international standards or multi-nation regulatory agreements would be the most effective, ensuring consistent rules across markets. For smaller or domestically focused companies, national regulations may suffice

2. Stricter Verification of Product Claims

Companies should be required to provide verifiable evidence for product claims related to:

- Health benefits
- Sustainability

- Performance or durability
- Scarcity

Regulators and platforms can enforce penalties for unsupported or exaggerated claims, promoting honesty and deterring deceptive marketing.

Implementation

Stricter verification requirements can be implemented at either the national or international level. National regulations can mandate that companies provide evidence, such as lab testing, certification, or third-party validation, before making claims related to quality, safety, sustainability, or health benefits. For companies operating across borders, international standards or cooperative regulatory frameworks can ensure consistency and prevent firms from exploiting weaker regulations in certain regions.

3. Independent Third-Party Review Verification

Platforms can partner with external organizations to authenticate:

- High-impact product reviews
- Expert reviews
- Verified customer feedback

Third-party verification increases trust and reduces manipulation.

Implementation

Independent third-party review can be implemented at multiple levels depending on the scope and scale of the company. At the **international level**, organizations such as ISO or global consumer protection coalitions can establish standardized guidelines for verifying product claims, sustainability labels, and safety certifications. At the **national level**, government agencies (e.g., the FTC in the U.S. or similar consumer protection authorities worldwide) can require independent auditing of advertising claims before they are published. promotional content, and data-driven marketing practices. Across all levels, the purpose is to ensure that product claims are validated by neutral experts rather

Potential Critiques and Unintended Consequences of our policies

While Consumer-Verified Product Reality Panels strengthen transparency and accountability, several limitations merit consideration. First, even with random selection, panels may suffer from selection bias, raising concerns about representativeness and fairness across diverse consumer groups. Second, the program could impose significant financial and logistical burdens on smaller businesses, potentially widening existing market inequalities. Third, requiring consumer verification before advertising approval may slow product launches, creating delays that disadvantage firms operating in fast-paced industries. Additionally, panel evaluations may be influenced by individual biases or inconsistent testing conditions, challenging the reliability of results. Privacy concerns also arise, as panel participation involves sharing personal experiences and media content. Furthermore, firms may attempt to manipulate outcomes through indirect incentives or legal challenges, undermining the policy's integrity. Finally, the increased volume of transparency information, such as Reality Reports and accuracy scores, may lead to consumer fatigue or confusion, limiting the policy's effectiveness.

Appendix

I used ChatGPT to support the development of this assignment. The following outlines how the tool was used, and how I ensured that the final work reflects my own understanding and analysis:

- I used ChatGPT to assist in drafting and refining sections of this assignment.

Specifically, I requested help in clarifying definitions of ethics and cyber ethics in the context of e-commerce.

ChatGPT provided draft text and suggestions. I reviewed, edited, and modified the outputs to ensure accuracy, alignment with course readings, and originality. All ideas and arguments presented ultimately reflect my own understanding and critical engagement with the topic.

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